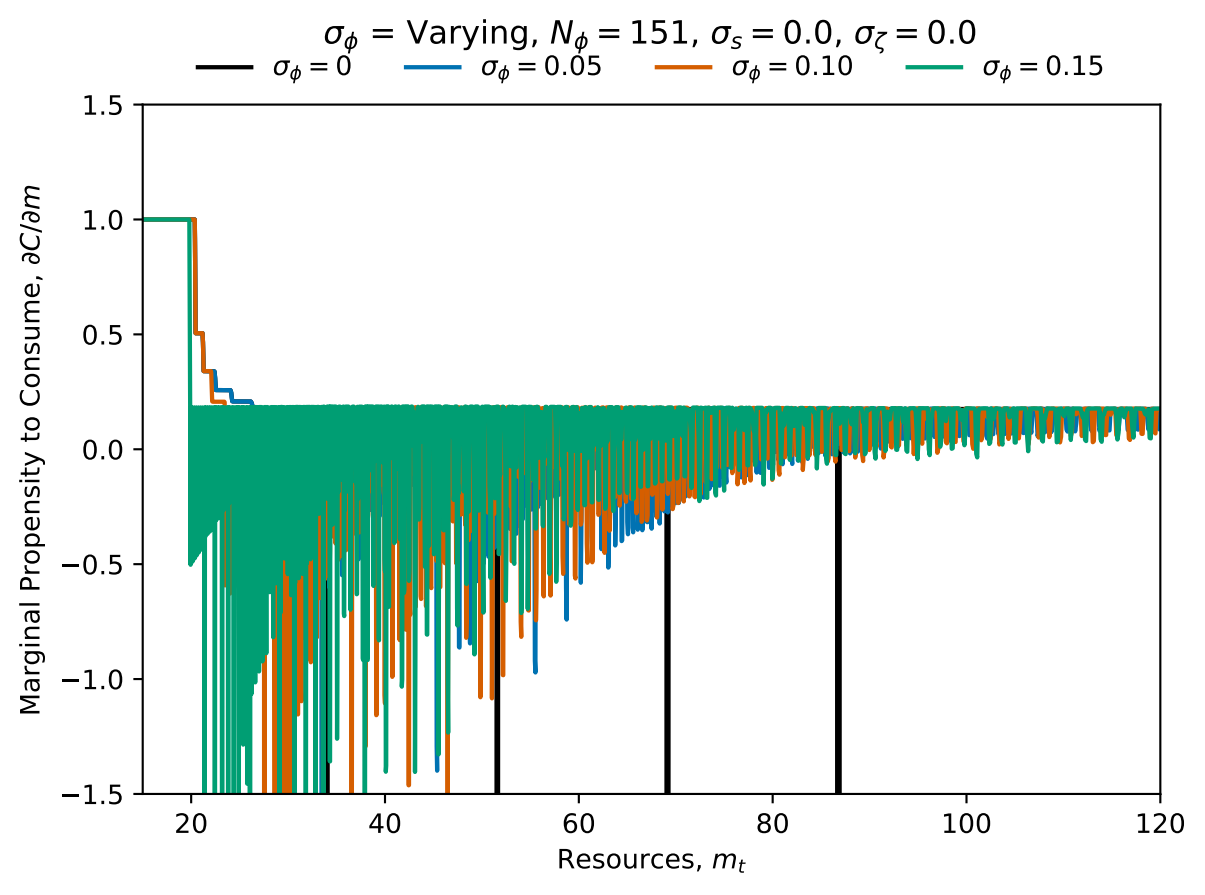
σ_ϕ = Varying, $N_\phi = 151$, $\sigma_s = 0.0$, $\sigma_\zeta = 0.0$
$\sigma_\phi = 0$
$\sigma_\phi = 0.05$
$\sigma_\phi = 0.10$
$\sigma_\phi = 0.15$
Marginal Propensity to Consume, $\partial C/\partial m$
Resources, m_t
1.5
1.0
0.5
0.0
−0.5
−1.0
−1.5
20
40
60
80
100
120